

CASE ID: 202502710002a

EPISODE NAME: China Retaliates to Drug Trafficking Tariffs

2025/02/01 - Ongoing

Sender: China (710)

Target: US (2)

Issue: Retaliation (16)

Final Outcome: Ongoing

Narrative:

On 2025/02/01, China's Ministry of Foreign Affairs threatened the US, saying it "will take necessary countermeasures to defend its legitimate rights and interests," including filing a lawsuit against the US through the World Trade Organization for "wrongful practices".¹ The threats came in response to the US's imposition of 10% tariffs on all Chinese goods earlier the same day.²

On 2025/02/04, China announced several retaliatory measures.³ They announced import tariffs of 15 percent "on coal and liquefied natural gas products", and 10 percent on "crude oil, agricultural machinery, and large-engine cars" to take effect on 2025/02/10. They imposed export controls on "critical minerals" such as tungsten, bismuth, and indium. They started investigating Google for possible antitrust-law violations. Finally, they placed American companies PVH Group and Illumina on their "unreliable entities list". PVH Group had already been investigated by China after their subsidiary companies Calvin Klein and Tommy Hilfiger boycotted cotton from Xinjiang, suspected to be the product of forced labor by Uyghur Muslims. Illumina competes in gene-sequencing with the Chinese company BGI.⁴ On 2025/02/05, China filed the threatened lawsuit against the US through the WTO.⁵

On 2025/05/12, the Chinese government agreed to reduce their tariffs as the United States would follow at the same time. Both nations agreed to keep a 10% blanket tariff and a 90 day suspension for the retaliation tariffs.⁶ Another round of negotiations on 2025/11/10 reduced Chinese countermeasures further.⁷ Some trade restrictions remain in place.

¹ Boak, Josh, et al. "Trump Puts Tariffs on Canada, Mexico and China, Spurring Trade War as North American Allies Respond." *AP News*, 2 Feb. 2025, apnews.com/article/trump-tariffs-trade-china-mexico-canada-inflation-753a09d56cd318f2eb1d2efe3c43b7d4.

² *Ibid.*

³ Moritsugu, Ken, and Huizhong Wu. "China Counters with Tariffs on US Products. It Will Also Investigate Google." *AP News*, February 4th, 2025, apnews.com/article/china-tariffs-us-trump-150fab3a44ec055845e47c82bde544c2.

⁴ *Ibid.*

⁵ Poidevin, Olivia. "China Launches WTO Dispute over Trump Tariffs." *Reuters*, February 5th, 2025. www.reuters.com/world/china/china-launches-wto-dispute-over-trump-tariffs-2025-02-05/.

⁶ Joseph Stepansky. "Trump tariffs updates: China hit with 145% duties as Wall Street slides." *Aljazeera*, April 10th, 2025.

<https://www.aljazeera.com/economy/liveblog/2025/4/10/trump-tariffs-live-stocks-skyrocket-as-many-duties-paused>.

⁷ Huld, Arendse Qian Zhou. "US and China Reach Trade Concessions Following Trump-Xi Meeting: Outcomes and Implications." *China Briefing*, 10 Nov. 2025.

<https://www.china-briefing.com/news/trump-xi-meeting-outcomes-and-implications>